

Savings Product	Average Interest Rate	Growth of \$10,000
Interest checking account	1.36%	\$11,446
Bank money market	2.40%	\$12,677
One-year certificate of deposit	4.36%	\$15,323
Mutual fund money market	4.30%	\$15,235
Top-paying money market	5.00%	\$16,289
Ave. stock market mutual fund	11.1%	\$28,651

Based on her negative experience, Martha's apprehension of investing is understandable and is best confronted by a very conservative approach. Since she is fearful of losing money, she should invest in very low-risk funds. Good choices for her would be government bonds, which have a guaranteed fixed interest rate. After her confidence is restored, she can include some riskier funds in her portfolio. The following is a sample of different investment options and their characteristics:

1. Bonds—certificates of debt; represents a loan to a corporation or agency; issued by corporations or government agencies that promise payment of interest on specific dates, with payment of the original investment amount at maturity.
2. Certificate of Deposit (CD)—savings certificates in a specific amount of money for a specific amount of time with a specific rate of interest; one main feature is convenience; you select a maturity date to fit your needs.
3. Collectibles—may be coins, stamps, artwork, baseball cards, or any of a number of other items that can be bought, held, and sold, depending on supply and demand.
4. Commodities—life's basics, such as wheat and metals that can be purchased in contract form to speculate on

